

Supply Chain Review — Q1 FY2027 Interim

Non-pharmacy purchasing, June 1 to August 31, 2026, and contract renewals through March 2027. Interim review for the CFO and sourcing managers, September 12, 2026. Prepared by Supply Chain.

Summer at a glance

9,000 PO lines, \$12.87 million

91.4% of spend on contract; FY2027 target is 90% or more

755 lines (\$2.12 million) still open at August 31

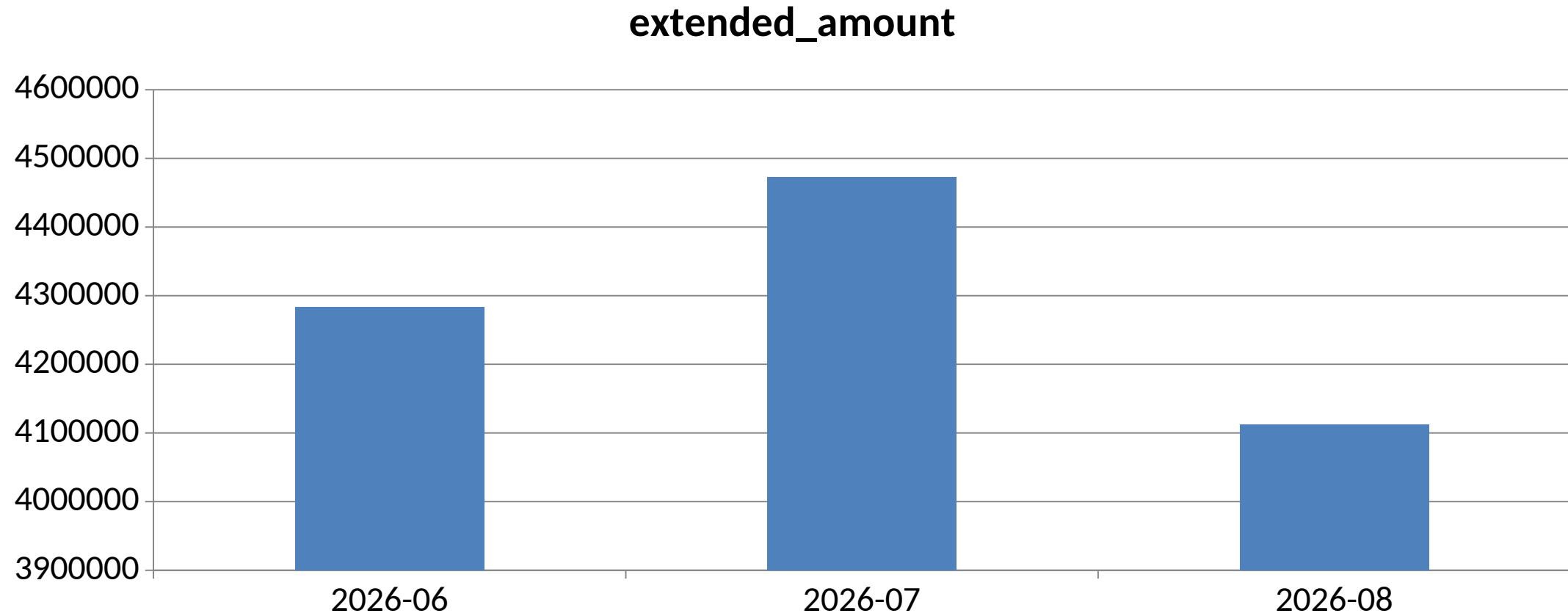
120 active agreements worth an estimated \$54.4 million a year

15 agreements expire on or before March 1, 2027

PO spend by month

Extended amount of non-pharmacy PO lines by order month: June \$4.28 million, July \$4.47 million, August \$4.11 million.

PO spend by month • USD



Contract coverage

On-contract share held between 90.9% and 92.1% each month, above the 90% target.

GPO agreements: \$7.48 million

Local agreements: \$1.86 million

Service agreements: \$2.42 million

Off-contract: \$1.11 million on 799 lines

Where off-contract spend sits

Purchased services (\$248,000), medical-surgical supplies (\$177,000) and orthopedic and spine implants (\$158,000) carry the most off-contract dollars. IT hardware has the highest off-contract share at 13.4% of its spend.

Implant off-contract lines appear to be mostly surgeon-preference items outside the GPO portfolio; sourcing is confirming

IT peripherals are often bought by departments from catalog suppliers

Open orders

\$2.12 million remains open. Minor equipment under \$25,000 accounts for \$949,000 of it, reflecting long supplier lead times; purchased services account for \$573,000 because service releases close only when invoices are approved.

Renewals through March 2027

15 agreements expire by March 1, 2027. The largest by estimated annual value:

Mercer Point Lab Products, laboratory: \$755,000, expires November 13

Solano Diagnostics Supply: \$580,000, expires February 16

Stanton Clinical Equipment: \$436,000, expires November 17

Two agreements expire in September; short extensions requested

Value analysis

The Value Analysis Committee continues to meet monthly. Any conversion proposed as part of a renewal with more than \$25,000 annual impact will go to the committee with a clinical sponsor and cost analysis before award.

Next steps

Start sourcing events for the November expirations this month

Review implant and IT off-contract items for local agreements

Clear service lines open more than 60 days with department approvers

Full Q1 review in October with September data